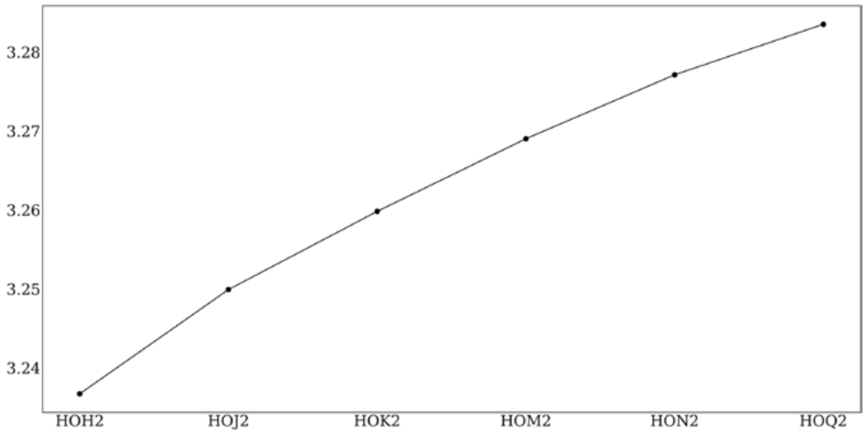


**FIGURE 2.3** **Term structure of heating oil.**

**TABLE 2.1** **Term structure table**

| Ticker | Name | Last |
|---|---|---|
| HOH2 | Heating Oil March 2012 | 3.2367 |
| HOJ2 | Heating Oil April 2012 | 3.2499 |
| HOK2 | Heating Oil May 2012 | 3.2598 |
| HOM2 | Heating Oil June 2012 | 3.2690 |
| HON2 | Heating Oil July 2012 | 3.2771 |
| HOQ2 | Heating Oil August 2012 | 3.2835 |



In this example, the price level of heating oil for each successive month is going up, which is the normal case. A term structure chart that slopes upwards such as this one is said to be in *contango*. In some instances the term structure can take on a downward slope and such a situation is called *backwardation*. These two words are the legacy of a system of deferring payments for stocks on the London Stock Exchange in the mid-nineteenth century, which may explain the rather esoteric terminology.

To understand why the prices are usually higher further in the future, you need to think of the cost of hedging the position. The fair price of any position is the cost of hedging it, so if you can hedge something, you can also price it. If someone sells open 100 gold contracts with delivery one year from now, the way to hedge this would be to buy 10,000 ounces (283 kilograms) worth of physical gold in the spot market now and store it until the time of delivery. Storage of gold is not entirely free unless you really want to keep it in your basement and you would be locking up cash during this